

Prepay the Loan, or Invest the Money? *There's a line.*

It sits at about 9.5%, and which side of it you're on decides everything.

A friend read the last thing I wrote about home loans and asked the right follow-up. Fine, he said, you've done the maths for a home loan at 8.5%. What about my car loan? What about the personal loan I took for my sister's wedding at fifteen percent?

Good question, so I ran the same model across every loan the people around me actually carry. Car, education, gold, personal, credit card.

The answer flips. Not slightly. It flips, and it flips at a rate you can memorise.

Below about 9.5%, invest the money. At 10% and above, prepay the loan. A home loan sits comfortably on one side of that line. Almost every other loan in India sits on the other.

THE LINE

9.5% interest

CREDIT CARD AT 42%

You'd need 51%

HOME LOAN AT 8.5%

Invest

LOANS COVERED

Eight kinds

PERSONAL LOAN AT 15%

Prepay

RATES AS OF

August 2026

START HERE

Why the rate is the whole story

One idea does all the work here, and it's the same one from last time. When you put ₹10,000 against a loan, you aren't "reducing debt". You're buying a return. The bank stops charging you interest on that ₹10,000, and the interest it stops charging you is your profit.

So your return is your rate. Loan at 8.5%, prepaying earns you 8.5%. Loan at 15%, prepaying earns you 15%.

Killing a 15% loan is a guaranteed 15% return

Tax-free. No fund manager, no market, no waiting to find out.

Which is why the rate decides this and the label on the loan barely matters. A car loan at 9% and a home loan at 9% behave almost identically. A car loan at 9% and a personal loan at 18% are completely different decisions, even though both of them are "a loan".

01

It really is a return

Money you don't get charged is money you keep. There's no difference between earning 15% and not paying 15%, except one of them is certain and the other isn't.

02

The bar climbs faster

At 8.5% your investment needs about 9.4%. At 15% it needs nearly 18%. At 42% it needs 51%. The bar climbs faster than the rate itself does.

03

Why there's a bit extra

Your investment profit gets taxed 12.5% when you sell. A loan repayment doesn't get taxed at all. So you need a little more than the rate, never exactly the rate.

How I tested it, in case you want to argue with me

Two versions of the same person. One pays the EMI plus ₹10,000 extra every month until the loan dies, then puts the whole freed-up EMI into an index fund for whatever's left of the original tenure. The other just pays the EMI and quietly invests ₹10,000 a month from day one.

Same money out of the bank account every single month, to the rupee. Same finish date. Same asset owned at the end. The only thing that differs is where the money went on the way there. If the two totals hadn't matched exactly I'd be proving nothing, so that was the first thing I checked.

1 The home loan verdict: invest

Start with the one everybody argues about. ₹50,00,000 at 8.5% for 20 years, EMI ₹43,391, and ₹10,000 spare each month. Prepay it and the loan dies in month 155 instead of month 240, seven years early, saving ₹21,78,721 of interest. That's the number people quote at you, and it's real.

Here's where both people end up after 20 years, once tax is paid and the house is fully theirs either way.

At 8.5%, invest. It ends ₹8,75,391 ahead over 20 years.

Assuming your investment does 11% a year. Below a 9.4% return, prepaying takes the lead instead.

IF YOUR MONEY GROWS	PREPAY, THEN INVEST THE FREED EMI	KEEP THE LOAN, INVEST ₹10,000	DIFFERENCE	VERDICT	MY READ
8% a year	₹59.12 lakh	₹52.94 lakh	₹6.18 lakh	Prepay	A guaranteed 8.5% beat a risky 8%. Nobody should be shocked by this row.
11% a year	₹65.15 lakh	₹73.90 lakh	₹8.75 lakh	Invest	The realistic case, and the verdict for this loan. Keep reading though.
14% a year	₹71.87 lakh	₹1.05 crore	₹32.85 lakh	Invest	Two very good decades in a row. Lovely if it happens. Don't budget for it.

After 12.5% capital gains tax, house fully paid off in every row, and the prepayer is assumed to re-invest every rupee of the EMI that frees up. That assumption is generous to prepaying, deliberately.

Then I put the ₹8.75 lakh next to the total

₹8.75 lakh sounds like a win. Then you notice that ₹1,28,13,879 left the bank account either way.

THE PRIZE FOR GETTING IT RIGHT

₹8.75 lakh

About 7% of everything you paid out, spread over twenty years.
Roughly ₹3,650 a month.

WHAT YOU CARRY TO COLLECT IT

Twenty years of risk

The 8.5% is certain. The 11% is a hope. That gap is your fee for living with the uncertainty.

So the call on a home loan is invest, and the old tax regime makes it firmer still. Keeping the loan alive keeps your Section 24(b) deduction, now Section 72, running for all 20 years instead of 13, and the gap widens from ₹8.75 lakh to ₹15.69 lakh. The only two things that flip this row are a return below 9.4%, or a loan rate above 9.9%.

2 Every loan, and the exact call on each

Same test, same ₹10,000 a month, every loan people actually take here. "What you'd need" is the return your investment must deliver, after tax, to draw level with repaying. The verdict column assumes 11% a year.

THE LOAN	RATE TODAY	USUAL TENURE	WHAT YOU'D NEED	VERDICT AT 11%	BY HOW MUCH, AND WHY
Home loan	8.0 to 9.5%	15 to 20 yr	9.4%	INVEST	Ahead by ₹8,75,391. Long tenure, cheapest money you will ever be offered.
Car loan, new	7.45 to 9%	5 to 7 yr	10.4%	INVEST	Ahead by only ₹13,283. Cheap money, but no tax break and a short runway.
Gold loan, from a bank	8.2 to 9%	1 to 3 yr	9.4%	INVEST	Ahead by ₹4,508. Technically true, small enough to ignore. Just clear it.
Education loan	8.05 to 11%	8 to 10 yr	11.4%	PREPAY	Ahead by ₹27,917. But 80E, now s.129, can flip it. See overleaf.
Car loan, used	11 to 14%	Up to 5 yr	14.4%	PREPAY	Ahead by ₹35,442. You aren't beating 14.4% after tax in five years.
Personal loan	10 to 24%	3 to 5 yr	17.7%	PREPAY	Ahead by ₹54,723. You'd need 17.7% after tax. Nobody does that reliably.
Gold loan, from an NBFC	12.5 to 27%	1 to 3 yr	19.6%	PREPAY	Ahead by ₹24,260. Bank money at double the price. Move it or kill it.
Credit card revolve	24 to 43%	Never ends	51.5%	PREPAY	Ahead by ₹29,107 on ₹1 lakh. Nothing clears 51.5%. Go and pay it.

Representative rate per row: home 8.5%, new car 9%, bank gold 9%, education 10%, used car 12.5%, personal 15%, NBFC gold 18%, card 42%. Rates as at August 2026. "Verdict" = what the arithmetic gives for this scenario at an assumed 11% return, not a recommendation for your situation.

WHERE THE LINE ACTUALLY SITS

At an 11% return the verdict flips from invest to prepay between **9.5% and 10.5%**, at every tenure I tested. That is the line. Below it, invest. Above it, prepay.

Which makes "don't prepay, just invest" right for three rows here and wrong for five.

3 The bar rises faster than the rate

A home loan gives you a comfortable rule of thumb: beat your rate by about a percent and investing wins. That rule holds at home-loan rates and quietly stops holding everywhere else, which is exactly why the line exists.

The extra you need on top of your rate keeps growing as the rate climbs. Here is the same ₹5,00,000 loan over five years, with nothing changing except the interest rate.

YOUR LOAN RATE	RETURN YOU'D NEED	EXTRA ON TOP	HAS ANYONE ACTUALLY DONE THIS FOR FIVE YEARS?
10%	11.39%	+1.4%	Yes, an index fund has cleared this over many five-year stretches. Also failed plenty.
12%	14.07%	+2.1%	Sometimes. You're now relying on a good five years, not an average one.
14%	16.49%	+2.5%	Rarely, and never in a way you could count on in advance.
16%	18.95%	+3.0%	Small caps have, in their best runs. They've also halved.
18%	21.44%	+3.4%	No. Not repeatably, not after tax.
20%	23.95%	+4.0%	No.
24%	29.08%	+5.1%	No, and anyone promising it is selling you something.

₹5,00,000 over 5 years with ₹10,000 a month spare, after 12.5% capital gains tax. At home-loan rates over a 20-year tenure the extra is smaller, closer to +1%, which is what misled me in the first place.

The credit card is not really a financial decision

A card revolving at 42% a year needs your investments to return **51.5% after tax** before waiting even makes arithmetic sense. Not one year of luck. Every year. Nothing does that.

I'm putting it in a document about investing because people genuinely do carry a card balance while running a SIP, and it feels responsible. It isn't. It's paying 42% to earn 11%.

ONE THING THAT CUTS THE OTHER WAY

Home loans have no prepayment penalty, and the RBI has now banned them on all floating-rate loans taken by individuals for non-business purposes. Read the date carefully though: that applies to loans **sanctioned or renewed on or after 1 January 2026**. An older personal loan is not covered. And most personal and car loans here are **fixed** rate, where charges are still allowed if the lender disclosed them upfront.

That's a real cost and it does push the maths towards waiting. On a personal loan at 15%, a 4% charge drops the bar you'd need from 17.72% to 15.76%. Which is still 15.76%. Check your sanction letter, then prepay anyway.

4 Six things the table can't show you

The break-even numbers look precise to two decimal places, and that precision is partly a costume. Your loan rate is a fact. Your tax regime is a fact. What the market returns over the next five or twenty years is not a fact, and no model can turn it into one.

- **Short loans and equity don't mix.** This is the one I would underline twice. The home loan test runs 20 years, and over 20 years Indian equity has been forgiving. A car loan runs five. No version of "the market averages 11%" protects you over five years, so the invest-instead case is weakest exactly where people find it most tempting.
- **Averages aren't experiences.** An 11% average contains years where your fund is down 30% and you feel sick. If you'd sell in one of those years, the average was never yours to claim.
- **Your home loan rate can move.** Almost all of them float. A rate rise lifts your break-even without asking you, and quietly turns yesterday's right answer into today's wrong one. Prepaying gets stronger every time the RBI hikes.
- **Two loans have tax breaks worth knowing.** Home loan interest is deductible up to ₹2,00,000 a year under Section 24(b), which the Income Tax Act 2025 rennumbers as **Section 72**. Education loan interest has **no cap at all** under Section 80E, now **Section 129**, for up to eight years. The limits are unchanged, only the numbering moved, and both are old regime only. On the old regime that unlimited deduction can turn the education loan row from prepay into invest, so check your own slab before you follow that row.
- **At low rates, one safe option can beat prepaying.** People say nothing safe matches a home loan prepayment. That holds from about 8.5% upwards and stops holding below it. Sukanya Samriddhi pays **8.2% tax-free** with a government guarantee, so against a 7.5% loan it wins by about ₹2 lakh over 20 years, and at 8% the two are level. A tax-free scheme needs 8.30% to match an 8% loan and 8.84% to match an 8.5% one; PPF at 7.1% clears neither. Both cap you at ₹1.5 lakh a year and lock the money in, and Sukanya needs a daughter under ten, so it is a narrow exception, not a loophole.
- **Prepay early or don't bother.** ₹1 lakh prepaid in year one of a home loan wipes out ₹3.82 lakh of interest. The same ₹1 lakh in year fifteen wipes out ₹51,353. "Always prepay" really means "prepay in the first third".

AND THE ONE THAT DWARFS EVERYTHING ABOVE

Every number in here assumes the prepayer invests the EMI that frees up when the loan closes early. In real life that money becomes a nicer car, a bigger flat, more holidays. I have watched it happen more than once.

A prepayer who invests the freed EMI ends up with **₹65.15 lakh**. One who spends it ends up with **nothing invested at all**. A ₹65 lakh gap, from a habit. Against an ₹8.75 lakh gap from the strategy everyone argues about.

So whichever way you go, set the auto-debit the same day you set up the loan payment. That single action is worth more than everything else in this document.

5 If you remember nothing else

1. **Prepaying is an investment. Its return is your loan rate.** Guaranteed, tax-free, and nothing safe in India matches it.
2. **Sort your loans by rate, not by name.** Kill the expensive ones. Then, and only then, is the prepay-or-invest debate worth having.
3. **The line is 9.5%.** Below it, invest. At 10% and above, prepay. It lands in that band at every tenure I tested.
4. **A home loan at 8.5% is an invest.** Ahead by ₹8,75,391 over twenty years, on ₹1.28 crore paid out either way. Real money, in exchange for twenty years of market risk.
5. **A short loan is a bad reason to take market risk.** Five years is not long enough for the average to save you.
6. **Automate whichever one you choose.** The freed-up EMI is worth seven times the whole decision, and it only survives if you never see it.

The tidy version of this advice, the one that gets repeated everywhere, is "don't prepay, just invest". It happens to be right for a home loan and wrong for most of the other rows in that table, which is why sorting your loans by rate matters more than any single number in here.

So: home loan at 8.5%, invest the surplus. Anything at 10% or above, kill it first and come back to this document afterwards.

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Important information, and where every number came from

Please read this bit. I am not a SEBI-registered investment adviser or research analyst, and nothing here is personal financial advice or a recommendation to buy, sell or hold any security, scheme or product. It is general education, published free, and it names no fund, stock or lender anywhere. The word "verdict" in this document means "this is what the arithmetic produces for the stated scenario", not "this is what you should do". Your own answer depends on your rate, tenure, tax regime, other goals and how you actually behave in a bad market, none of which I know.

On returns. The 11% figure is an assumption used to make the comparison work, not a forecast and not a promise. Equity returns are not guaranteed and you can lose money. **Past performance is not indicative of future results.** The Nifty history shown is index data used to test the method, not the record of any product you can buy, and it excludes the costs and taxes an actual investor would face beyond those stated. Mutual fund investments are subject to market risks; read all scheme related documents carefully.

On tax and rates. Tax rules and interest rates change, sometimes quarterly. Figures are as at August 2026 and the Income Tax Act 2025 has renumbered several sections, so confirm the current position with a qualified tax professional before acting. Please speak to a SEBI-registered investment adviser who can see your full situation.

WHERE THESE NUMBERS COME FROM

1. Personal loan rates, August 2026, and the 1% to 5% foreclosure charge on fixed-rate loans. Paisabazaar, Personal Loan Interest Rates. paisabazaar.com/personal-loan/interest-rates
2. Car loan rates and tenures up to 8 years. BankBazaar, Car Loan Interest Rates 2026. bankbazaar.com/car-loan-interest-rate.html
3. Gold loan rates, 8.05% to 27% across banks and NBFCs. ClearTax, Gold Loan Interest Rates. cleartax.in/s/gold-loan-interest-rates
4. Credit card rates, 23.88% to 43.20% annualised. Fincash, Credit Card Interest Rate 2026. fincash.com/l/pf/credit-card-interest-rate
5. Education loan rates from 8.05%. WeMakeScholars, Education Loan Interest Rates 2026. wemakescholars.com/education-loan/interest-rates
6. RBI (Pre-payment Charges on Loans) Directions, 2025, issued 2 July 2025, applying to loans sanctioned or renewed on or after 1 January 2026. Fixed-rate loans may still levy charges if disclosed upfront. Corporate Professionals regulatory overview and the RBI direction itself.
7. Section 24(b), ₹2 lakh cap, self-occupied, old regime only, renumbered Section 72 by the Income Tax Act 2025 (in force 1 April 2026). ClearTax and the CBDT old-to-new section concordance on incometax.gov.in
8. Section 80E, no cap on education loan interest, up to 8 years, old regime only, renumbered Section 129 by the Income Tax Act 2025. ClearTax. cleartax.in/s/section-80e-deduction-interest-education-loan
9. Capital gains, 12.5% on listed equity with ₹1.25 lakh exempt each year, under Section 112A, renumbered Section 198. Short-term gains 20%. ClearTax. cleartax.in/s/long-term-capital-gains-ltcg-tax
10. Small savings rates for July to September 2026, unchanged for the ninth straight quarter: PPF 7.1%, Sukanya Samridhi 8.2%, both tax-free. Ministry of Finance quarterly notification, via Upstox.
11. All model output from Prepay_vs_Invest_Home_Loan.xlsx and Prepay_or_Invest_ANSWER.xlsx, August 2026. Every figure was checked against an independent rebuild of the model.